

Management Control: Nature, Methods, Systems, and Application

Planning sets the destination. Organizing arranges the resources. Staffing fills the positions. Leading motivates the people. But how does a manager know whether the organization is actually moving toward its goals? How does a manager detect problems before they become crises? How does a manager ensure that resources are not being wasted? The answer is controlling. Controlling is the function of management that monitors progress, compares actual performance against planned performance, and takes corrective action when needed. Without controlling, plans are merely wishes. There is no feedback, no accountability, and no way to know if the organization is succeeding or failing.

This reading material explains how to apply management control in an organization. It describes the nature of management control, the connection between planning and controlling, control methods and systems, the application of management control in accounting and marketing concepts and techniques, and the importance of budgets in planning and control.

Part 1: The Nature of Management Control

Control is often misunderstood. Many people associate control with punishment, micromanagement, or rigidity. In management, however, control has a different meaning. It is not about controlling people. It is about controlling processes and outcomes to ensure the organization stays on track.

What Is Management Control?

Management control is the process of monitoring activities, measuring performance, comparing results with goals, and correcting deviations to ensure that the organization

achieves its objectives. It is the feedback loop that closes the gap between planning and execution.

The nature of management control has several key characteristics.

Control is forward-looking. Although control measures past performance, its purpose is to influence future behavior. A manager looks at last month's sales not to punish or reward but to decide what to do next month.

Control is continuous. Control is not a one-time event. It is an ongoing process of monitoring, measuring, comparing, and correcting. Organizations use control daily, weekly, monthly, and annually.

Control is action-oriented. The purpose of control is not to collect data. The purpose is to take action. If a manager measures performance but does nothing with the information, control has not occurred.

Control is integrated with planning. Control is meaningless without a plan. How can a manager know if performance is good or bad without a standard to compare against? Plans provide the standards; control measures against those standards.

The Control Process

The control process consists of four steps that repeat continuously.

Step	Description	Example
1. Establish standards	Set clear, measurable performance expectations	Sales target: ₱1 million per month
2. Measure performance	Collect data on actual performance	Actual sales: ₱850,000 this month
3. Compare performance against standards	Determine the variance (difference) between actual and standard	Variance: ₱150,000 shortfall (15% below target)

4. Take corrective action	If needed, make changes to improve performance	Increase advertising, offer discounts, retrain sales staff
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Types of Control

Control can occur at different points in the work process.

Type	When It Occurs	Purpose	Example
Feedforward control	Before work begins	Prevent problems before they happen	Inspecting raw materials before production
Concurrent control	During work	Monitor and adjust as work is being done	Supervising workers on the production line
Feedback control	After work is completed	Correct problems after they occur	Analyzing customer complaints after delivery

Feedforward control is the most proactive. It anticipates problems and prevents them. For example, a restaurant inspects vegetables before cooking to ensure they are fresh. This prevents customer complaints before they start.

Concurrent control happens in real time. It detects problems as they occur and allows immediate correction. For example, a supervisor watches workers assemble products and corrects mistakes immediately.

Feedback control is the most common. It measures results after the fact. It cannot prevent problems, but it provides information for improving future performance. For example, a company analyzes customer satisfaction surveys after a product launch to improve the next launch.

Part 2: The Connection Between Planning and Controlling

Planning and controlling are often discussed as separate functions, but they are inseparable. They are two sides of the same coin. Planning sets the goals; controlling measures progress toward those goals. Without planning, control has no standards to measure against. Without control, planning has no feedback to learn from.

How Planning and Control Work Together

Aspect	Planning	Controlling
Direction	Sets where to go	Checks if you are going there
Time focus	Future-oriented	Present and past-oriented
Output	Goals, standards, budgets	Performance data, variance reports, corrective actions
Question answered	"What should we achieve?"	"Are we achieving it?"

The Planning-Control Cycle

The relationship between planning and control is cyclical. The cycle never ends.

1. **Plan.** Set goals and decide how to achieve them.
2. **Execute.** Implement the plan.
3. **Control.** Measure performance and compare to the plan.
4. **Adjust.** If there are deviations, take corrective action.
5. **Re-plan.** Based on what was learned, revise the plan.
6. **Repeat.** The cycle continues.

For example, a company plans to launch a new product by December. As the launch date approaches, managers control progress by comparing actual milestones against the plan. If the product is behind schedule, they take corrective action (add staff, extend hours). Based on this experience, they revise plans for the next product launch. The cycle continues.

Why Control Fails Without Planning

Problem	Consequence
No clear standards	Managers do not know what good performance looks like
Unrealistic standards	Employees become frustrated and give up
Changing plans without updating controls	Control measures become irrelevant
No plan at all	There is nothing to control against

Why Planning Fails Without Control

Problem	Consequence
No measurement of progress	Managers do not know if the plan is working
No detection of deviations	Problems grow worse without correction
No learning for future plans	The same mistakes are repeated
No accountability	Employees have no incentive to achieve goals

Part 3: Control Methods and Systems

Organizations use various methods and systems to control operations. Some are formal and quantitative; others are informal and qualitative.

Traditional Control Methods

Method	Description	Example
Budgetary control	Comparing actual financial results against budgeted amounts	Monthly budget variance report
Financial ratio analysis	Using ratios to assess financial health	Current ratio, debt-to-equity ratio, return on investment
Audits	Independent examination of records and operations	Internal audit, external audit
Management by objectives (MBO)	Setting specific, measurable goals with employees and reviewing progress	Quarterly MBO review meetings

Modern Control Methods

Method	Description	Example
Balanced scorecard	Measuring performance from four perspectives: financial, customer, internal processes, learning and growth	Tracking customer satisfaction alongside financial results
Benchmarking	Comparing performance against best practices in the industry	Studying a competitor's warehouse efficiency

Method	Description	Example
Quality control	Monitoring product or service quality	Statistical process control, Six Sigma
Employee self-control	Trusting employees to monitor their own performance	Professionals who track their own billable hours

Control Systems

A **control system** is the total set of procedures, tools, and practices an organization uses to monitor and regulate its activities. Effective control systems share several characteristics.

Characteristic	Explanation
Accuracy	The system must produce correct information. False data leads to wrong decisions.
Timeliness	Information must be available when needed. Last month's data may be too late.
Objectivity	The system should measure facts, not opinions. Subjective measures invite bias.
Integration	The system should fit with the organization's structure and culture.
Acceptability	People must accept the control system. If employees resist, the system will fail.
Cost-effectiveness	The cost of control should not exceed the benefits of control.

Part 4: Application of Management Control in Accounting and Marketing

Control is not a separate activity that happens in a vacuum. It is embedded in specific organizational functions. Two critical areas where control is applied are accounting and marketing.

Management Control in Accounting

Accounting provides the financial data that managers need to control operations. Several accounting concepts and techniques are essential for control.

Budgetary Control

A budget is a financial plan for the future. Budgetary control involves comparing actual financial results against the budget and taking corrective action for variances.

Step	Action
1	Prepare a budget for each department or activity
2	Record actual revenues and expenses
3	Calculate variances (budgeted minus actual)
4	Investigate significant variances
5	Take corrective action (cut costs, increase sales, revise budget)

Variance Analysis

Variance analysis is the process of calculating and explaining differences between budgeted and actual amounts.

Type of Variance	Definition	Example
Favorable variance	Actual performance is better than budgeted	Actual costs are lower than budgeted
Unfavorable variance	Actual performance is worse than budgeted	Actual costs are higher than budgeted

For example, if the budget for marketing was ₱100,000 but actual spending was ₱120,000, the variance is ₱20,000 unfavorable. The manager must investigate why marketing overspent.

Financial Statement Analysis

Financial statements (income statement, balance sheet, cash flow statement) provide data for control. Managers use ratios to assess performance.

Ratio	Formula	What It Measures
Gross profit margin	$(\text{Sales} - \text{Cost of goods sold}) / \text{Sales}$	Profitability of products
Operating margin	$\text{Operating income} / \text{Sales}$	Overall operating efficiency
Current ratio	$\text{Current assets} / \text{Current liabilities}$	Short-term liquidity
Inventory turnover	$\text{Cost of goods sold} / \text{Average inventory}$	How quickly inventory sells

Internal Controls

Internal controls are procedures designed to protect assets, ensure accuracy, and prevent fraud. Examples include:

- Requiring two signatures on checks above a certain amount
- Separating duties so no single person controls a transaction from start to finish
- Conducting surprise cash counts
- Reconciling bank statements monthly

Management Control in Marketing

Marketing also requires control. Marketing managers must monitor whether campaigns are achieving their goals and whether resources are being used efficiently.

Marketing Control Techniques

Technique	Description	Example
Sales analysis	Comparing actual sales against targets by product, region, or salesperson	Sales this month: ₱850,000 vs. target: ₱1,000,000
Market share analysis	Tracking the company's share of total industry sales	Market share dropped from 15% to 12%
Customer satisfaction tracking	Measuring how satisfied customers are with products or service	Customer satisfaction score: 4.2 out of 5
Campaign performance metrics	Measuring the effectiveness of advertising and promotions	Click-through rate, conversion rate, cost per lead
Distribution channel control	Monitoring how products move through distributors to customers	Out-of-stock rates at retail stores

Common Marketing Metrics for Control

Metric	Definition	Good or Bad?
Customer acquisition cost (CAC)	Cost to acquire one new customer	Lower is better
Customer lifetime value (CLV)	Total profit from a customer over the entire relationship	Higher is better
Conversion rate	Percentage of prospects who become customers	Higher is better
Churn rate	Percentage of customers who stop buying	Lower is better
Return on marketing investment (ROMI)	$(\text{Revenue from marketing} - \text{Marketing cost}) / \text{Marketing cost}$	Higher is better

Part 5: The Importance of Budgets in Planning and Control

Budgets are the most common and most important tool for both planning and control. They serve two distinct but related purposes.

The Dual Role of Budgets

Role	Description	Time Focus
Planning	Budgets translate strategic plans into financial terms	Future
Control	Budgets provide standards against which actual performance is measured	Present and past

How Budgets Support Planning

Budgets force managers to plan. Creating a budget requires managers to think ahead, set targets, and allocate resources. Without a budget, planning is vague. With a budget, plans become specific and measurable.

Budgets coordinate activities. A budget pulls together plans from different departments into a single financial plan. The sales budget, production budget, and marketing budget must all be aligned. If sales forecasts increase, the production budget must increase accordingly.

Budgets communicate expectations. When a manager receives a budget, they know what is expected. The budget tells them how much they can spend, how much revenue they need to generate, and what resources are available.

How Budgets Support Control

Budgets provide standards. Control requires a standard to compare against. The budget provides that standard. Actual performance is measured against budgeted amounts.

Budgets highlight variances. When actual results differ from the budget, variances are identified. Managers can focus their attention on areas where performance deviates most significantly.

Budgets trigger corrective action. When a significant unfavorable variance occurs, managers investigate and take action. Why did marketing overspend? Why are sales below target? The budget variance triggers these questions.

Types of Budgets Used in Planning and Control

Type	Definition	Example
Operating budget	Covers day-to-day revenues and expenses	Sales budget, production budget, marketing budget
Capital budget	Covers major investments in assets	Budget for new equipment, new building, new technology

Type	Definition	Example
Cash budget	Forecasts cash inflows and outflows	Monthly cash flow projection
Master budget	The overall budget combining all departmental budgets	Complete financial plan for the year
Flexible budget	A budget that adjusts for actual activity levels	A budget that shows expected costs at different sales volumes

The Budgeting Process

Step	Action
1	Top management sets overall strategic goals
2	Department managers prepare initial budgets
3	Budgets are reviewed and negotiated
4	Top management approves the final budget
5	Departments execute the budget
6	Actual results are recorded and compared to the budget
7	Variances are analyzed
8	Corrective action is taken as needed
9	The budget is revised if conditions change significantly

Common Budgeting Problems and Solutions

Problem	Solution
Budgets become outdated as conditions change	Use rolling budgets (continuously updated)
Managers inflate budget requests	Require justification for all budget items
Managers fear being penalized for variances	Create a culture of learning, not blame
Budgeting takes too much time	Simplify the process for smaller departments
Budgets discourage innovation	Set aside a separate innovation budget

Part 6: Putting It All Together – Applying Control in an Organization

Applying management control effectively requires integrating all the concepts discussed above. The following framework summarizes the key steps.

Step 1: Establish Clear Standards

Control begins with planning. Set specific, measurable, achievable, relevant, and time-bound (SMART) goals. Translate these goals into budgets and performance targets.

Step 2: Choose Appropriate Control Methods

Decide which control methods to use. Will you use feedforward, concurrent, or feedback control? Will you use budgetary control, quality control, or balanced scorecard? The choice depends on the situation.

Step 3: Measure Performance Accurately

Collect reliable data on actual performance. Use accounting systems for financial data. Use surveys, observation, or tracking systems for non-financial data.

Step 4: Compare Performance to Standards

Calculate variances. Identify where performance is below standard. Also identify where performance exceeds standard – this is also useful information.

Step 5: Analyze Causes of Deviations

Why did the variance occur? Was it due to internal factors (poor execution, resource shortages) or external factors (economy, competitors, weather)? Understanding the cause is essential for taking the right corrective action.

Step 6: Take Corrective Action

If performance is below standard, take action to improve it. This might involve retraining employees, reallocating resources, changing processes, or revising unrealistic standards.

Step 7: Use Feedback to Improve Future Plans

The information gained from control should inform the next planning cycle. What worked? What did not? How can plans be improved?

Key Terms

Term	Definition
Management control	The process of monitoring activities, measuring performance, comparing results with goals, and correcting deviations
Feedforward control	Control that occurs before work begins to prevent problems
Concurrent control	Control that occurs during work to monitor and adjust in real time
Feedback control	Control that occurs after work is completed to correct problems
Budget	A financial plan for the future that translates strategic goals into financial terms
Variance	The difference between budgeted and actual performance
Favorable variance	Actual performance is better than budgeted
Unfavorable variance	Actual performance is worse than budgeted
Balanced scorecard	A control system measuring performance from financial, customer, internal process, and learning perspectives
Benchmarking	Comparing performance against best practices in the industry

Review Questions

1. Define management control. What are the four steps of the control process?
2. Explain the difference between feedforward, concurrent, and feedback control. Provide one example of each.
3. Why are planning and controlling inseparable? What happens to planning without control? What happens to control without planning?
4. List three control methods from this lesson. For each method, describe how it is used.
5. What is budgetary control? Explain the role of variance analysis in budgetary control.
6. Describe two accounting concepts or techniques used in management control. Provide an example of each.
7. Describe two marketing concepts or techniques used in management control. Provide an example of each.
8. What are the two roles of budgets in organizations? Explain how budgets support both planning and control.
9. List three types of budgets. For each type, state what it covers and give one example.
10. Application question: A small retail store sets a monthly sales target of ₱500,000. After three months, actual sales average ₱400,000 per month. Using the control process (establish standards, measure performance, compare, take corrective action), describe what the manager should do at each step. Include at least two possible corrective actions the manager could take.